



WEAVING SUCCESS IN SUNRISE SECTOR

We are confident that the industry will attract an investment of Rs 1,56,000 crore by 2012 and generate 17.37 million jobs, direct and indirect, by 2012.

What are the new challenges faced by the UPA government and how did it overcome the challenges in its push for growth in the textile industry?

The last four years have proved to be a defining period for the Indian textiles industry. When the UPA government took office, the textiles industry was in the doldrums. The government initiated steps to empower the textiles industry. The Technology Upgradation Fund Scheme (TUFS) was implemented with renewed vigour, and the Scheme for Integrated Textiles Parks (SITP) was launched to strengthen infrastructural facilities in potential textiles growth areas. New programmes were launched to modernise the handloom, powerloom, garment, handicraft, sericulture and wool sectors. The jute sector acquired new impetus with the launching of the Jute Technology Mission (JTM) in February 2007.

I can say with confidence that the Indian textiles industry is in a stronger position than it was in the last six decades. The industry, which was growing at 3 to 4 per

cent during the last six decades, has now accelerated to 8 to 9 percent and will reach a level of \$115 billion by 2012.

We have laid a strong foundation for the industry on which world-class manufacturing units can realise their full potential and make a mark in the international economy. I can say with pride that under the sagacious guidance of the UPA chairperson Sonia Gandhi and the learned leadership of Hon'ble Prime Minister Manmohan Singh, the Indian Textiles Sector has been transformed from a sunset to a sunrise sector.

Is modernisation an objective? What are the steps the government has taken in this regard?

The UPA government recognised technological obsolescence as the main impediment to the growth of the textiles industry. The government gave a new impetus to the implementation of the Technology Upgradation Fund Scheme (TUFS), which ensures the availability of bank finances, at rates comparable to global rates, to modernise production facilities. All segments of the textiles industry are getting benefits under the scheme.

The scheme achieved momentum as a result of tremendous efforts put in by both the UPA Government and the industry. The popularity of the scheme can be assessed from the fact that it was to come to an end in March 2007, but the industry was persistent with its demand that the scheme be extended till 2012. I personally took up the matter with the PMO and the Ministry of Finance and got it extended till 2012.

Is the government open to investments in the textile sector? Will the process of progress get a fillip with such investments?

The textiles sector has witnessed a spurt in investments during the tenure of the UPA Government. The main engine of investment has been the Technology Upgradation Fund Scheme (TUFS), which had attracted an investment of Rs 1,22,087 crore till March 2008, of which the investment during the last four years were Rs 1,04,506 crore.